Some Important Basic changes made in the new Companies Act 2013 are as follows:

S. No	CHANGES		CHANGES MADE
1	**Incorporation of Company**	Types of Companies	Public company Private company One Person company (OPC)
		Maximum no of members for private companies	A private company can have maximum of 200 members
		One person Company	New Concept Introduced
		Commencement of business	Now applicable to all companies having share capital
2	**Memorandum of Association (MOA)**	Object Clause	MOA to contain the objects for which the company is proposed to be incorporated and any matter considered necessary in furtherance thereof
3	**Key Managerial Person (KMP)**	Section 2 (51)	KMP Includes: • CEO or MD or Manager; • Company Secretary; • WTD; • CFO; and Such other officers as may be prescribed
4	**APPOINTMENT OF WHOLE TIME KMP**	Section 203	States that Every Company belonging to class or classes of companies as may be prescribed shall have KMPs • MD or CEO or Manager and in absence of a WTD • Company Secretary • Chief Financial Officer
5	**Regarding Issue of Share Capital**	Issue of Shares at a discount	Shares, other than sweat equity shares, cannot be issued at a discount
		Issue of preference shares for more than 20 years	Preference shares have to be redeemed within 20 years of issue except for the shares issued for prescribed infrastructure projects, provided a certain percentage of shares are redeemed annually at the option of shareholders
		Notice of alteration of share capital	Company shall file a notice in the prescribed form with the Registrar within a period of thirty days of redemption of redeemable preference shares.
		Consolidation and division of shares	Consolidation and division which results in changes in the voting percentage of shareholders shall require approval of the Tribunal to be effective.

12th Commerce Unit 10.indd 234 12/14/2020 2:55:33 PM